AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B292
Management Accounting

Mid-term Examination / Version: C
2024-2025 / Spring

8-April-2025

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed:** 2 Hour

Instructions:

ake **FIVE (5)** minutes to read all instructions carefully before attempting to write.
lobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
his is a **CLOSED** book examination. NO documents of any kind are allowed.
ou **MUST** answer the questions using only the answer booklets provided
ou **MUST** return the examination paper together with your answer booklets.
o **NOT** write your answers in pencil except graphs/sketches
udents are **NOT** allowed to use any type of dictionary or mobile phones du
amination
udents are allowed to use ***non-programmable*** calculators only (if needed).
y form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Po

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Question 1 (30 marks)

Briefly describe the difference between the concept of centralization and decentralization (12 marks). Also, highlight and briefly discuss 3 advantages and 3 disadvantages of decentralization (18 marks).

Question 2 (30 marks)

Fusion has compiled the company's costs per month with its number of clients called, for a six-month period. You are given here below different levels of production for different months and the corresponding total costs:

Month	*Number of Clients called*	*Total Costs*
January	140	$15,50
February	120	13,500
March	150	16,500
April	100	11,500
May	220	27,500
June	300	31,500

Required:

A. There are a number of techniques used by management accountants for splitting mixed costs into fixed and variable elements, among them is the high-low method. Define the high-low method and mention one advantage and disadvantage of this method (5 marks)

B. Use ***the*** high-***low method*** to compute the variable and fixed elements of Al-Jareer's total costs. (20 marks)

C. Calculate the total cost for the month of July if the target number of calls was planned to be 250 calls. (5 marks)

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Question 3 (40 marks)

The CEO of Nexus company is considering whether to replace one of the factory machines. In your capacity as a management accountant working in Nexus you were asked by the CEO to make a decision whether to keep the old machine or replace it with a new one.The following information has been supplied to you to be used in your analysis :

- **Old machine details**:
  - Book-Value: $180,000
  - Original purchase cost: $350,000
  - Cash disposal value: $150,000
  - Variable Costs are 60% of annual turnover.
  - Annual Turnover is $2,000,000
- **New machine details**:
  - Purchase cost of the new machine is $300,000
  - If the new machine is installed the annual turnover remains the same. i.e. $2,000,000
  - If the new machine is installed the variable costs will be reduced by $200,000
  - If the new machine is purchased the annual depreciation expense will be $30,000.

Required:

A. Is the purchase cost of the old machine relevant or irrelevant to your decision? Explain your reason. (5 marks)

B. Is the depreciation expense relevant or irrelevant cost to your decision? Explain (5 marks)

C. Should the machine be replaced or not. Support your recommendation with appropriate figures/analysis to present to the CEO. (30 marks)

END OF EXAM

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